

Bear

\$87.05

Base

\$117.88

Bull

\$156.22

COMPANY HEALTH SCORE

80 / 100

GOOD TO BUY SCORE

85 / 100

PIOTROSKI F-SCORE

6 / 9

RULE OF 40

56.1% / 40%

BENEISH M-SCORE (MANIPULATION RISK)

-2.76 / -1.78

Custom Scenarios

| PARAMETER         | Bear | Base | Bull |
|-------------------|------|------|------|
| Rev. Growth (%)   | 15   | 20   | 25   |
| FCF Margin (%)    | 31   | 34   | 37   |
| WACC (%)          | 9.5  | 9    | 8.5  |
| Exit Multiple (x) | 12   | 15   | 15   |
| Perpetual Gr. (%) | 2    | 2.5  | 3    |
| EPS Growth (%)    | 17   | 20   | 23   |
| Forward P/E 3y    | 20   | 23   | 26   |

DCF Model

\$178.49

UNDERVALUED

MOS: 86.94%

20% SHARE

Relative Valuation

\$67.87

OVERVALUED

MOS: -28.92%

PEER MEDIAN P/E: 19.2X

10% SHARE

Forward Multiple

\$91.72

FAIR VALUED

MOS: -3.93%

FAIR P/E: 23.0X

35% SHARE

PEG Valuation

\$123.69

UNDERVALUED

MOS: 29.55%

PEG = 1.16 VS PEG STD = 1.50

35% SHARE

STRATEGIC STRENGTHS

- • ServiceNow's dominant competitive advantage lies in its single data fabric and integrated data layer, supporting organizations' operationalization of their AI strategy with speed, scale, and security, which creates high switching costs for customers.
- • The company's financial strength is reflected in its high revenue growth rate (22.1% YoY) and expanding net profit margin (12.6%), indicating a stable and performing business model.
- • The main engine of future growth is the integration of AI technologies, such as the ServiceNow AI Platform, which facilitates comprehensive delivery of seamless workflows and drives digital transformation across all departments and personas within an organization.

VULNERABILITIES & RISKS

- • The main strategic threat is the increasing competition in the cloud-based workflow automation market, with competitors such as Salesforce and Microsoft Azure, which may threaten ServiceNow's market share.
- • The risk related to valuation is the high P/E multiple (56.8x), which implies a correction risk if the company's growth rate slows down or if the market experiences a downturn.
- • Regulatory risks, such as changes in data privacy laws and regulations, may impact ServiceNow's ability to operate its cloud-based platform and provide AI-powered services to customers.

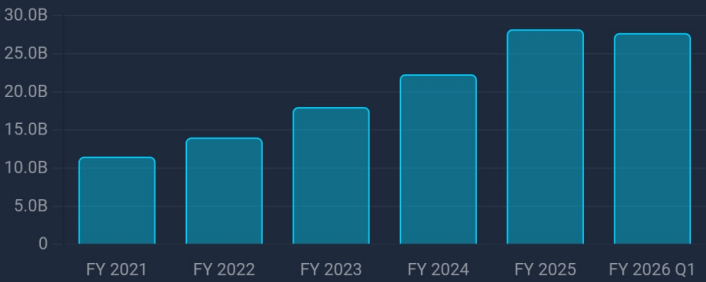
KEY POINTS FROM LATEST REPORTS

- • Management highlighted the growth in RPO, which increased by 25% compared to March 31, 2025, and the expansion of the company's customer base, with 630 customers having an annual contract value (ACV) greater than \$5 million as of March 31, 2026.
- • The company is focused on developing its AI capabilities, including the ServiceNow AI Platform, which is expected to drive future growth and revenue expansion.
- • Management warned about the potential impact of macroeconomic events, such as interest rates, global inflation, and tariffs, on the company's business and financial results, although no material impact has been experienced so far.

# AI Business Pulse Audit

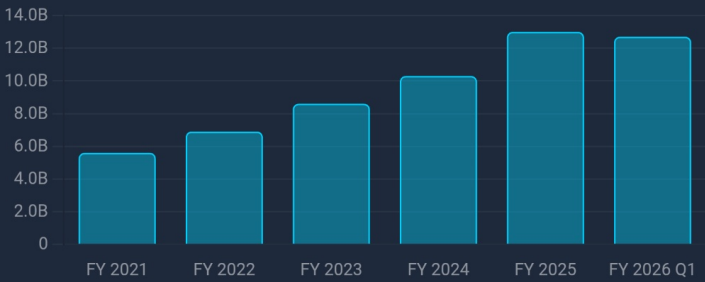
## Remaining Performance Obligations (RPO) (1/8)

Represents contracted revenue that has not yet been recognized, indicating the backlog of future recurring revenue.



## Current Remaining Performance Obligations (cRPO) (2/8)

The portion of RPO that will be recognized as revenue in the next 12 months, serving as a leading indicator of near-term subscription revenue growth.



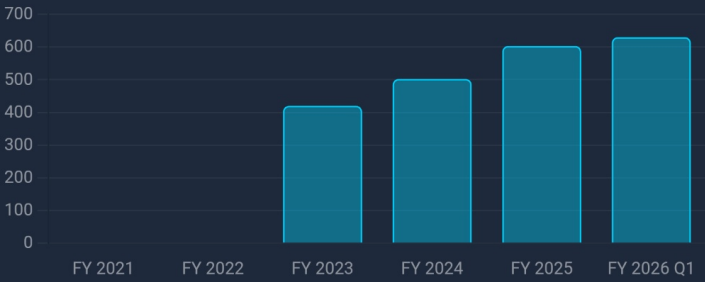
## Renewal Rate (3/8)

Calculated as 100% minus the attrition rate, demonstrating customer retention and product stickiness.



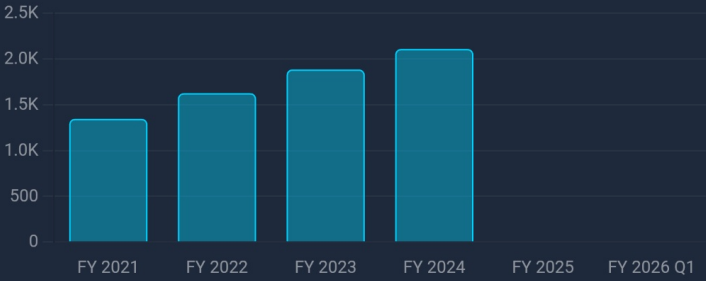
## Number of Customers with ACV Greater than \$5 Million (4/8)

The count of high-value enterprise customers with an Annual Contract Value exceeding \$5 million, showing penetration into the largest global organizations.



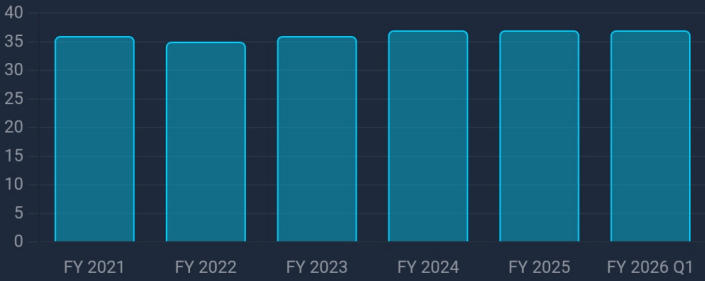
## Number of Customers with ACV Greater than \$1 Million (5/8)

The count of enterprise customers with an Annual Contract Value exceeding \$1 million, showing mid-to-large enterprise market penetration.



## Geographic Revenue Mix (Outside North America %) (6/8)

The percentage of total revenues generated outside of North America, reflecting international market expansion and currency exposure.



## Direct Sales Channel Contribution (% of Total Revenue) (7/8)

The percentage of total revenues generated through the company's direct sales organization, indicating direct customer relationship strength vs. partner channels.



## AI Revenue Target / Contribution (8/8)

Management's targeted revenue contribution from generative AI products (such as Now Assist), showing the monetization scale of AI features.

